Congress likely to punt funding into the new year

送信者: EG US Daily 受信日時: 2026-11-12 02:05

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... and a third reconciliation bill is a long shot
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Hegseth impeachment vote and Jordan election temper speculation of GOP defectors

Congress likely to punt funding into the new year ... A short-term continuing resolution (CR) keeping government funding flat into the early months of the next Congress is the most likely outcome from the 11 December funding deadline (70% odds).

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House and Senate appropriators haven’t made the progress necessary to pass all 12 appropriations bills by the 11 December deadline, meaning that a short-term stopgap of some form, rather than a full appropriations suite, is almost a guarantee. The House has passed three bills, but these face roadblocks in the Senate.
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A shutdown at the deadline, most likely over Ukraine and Iran, is possible, but would not endure long enough to have market-disrupting impacts; the only potential impact would be a delay of the 15 December PPI numbers, but a shutdown would be unlikely to last even that long. A shutdown also would not impact combat operations against Iran, as they are protected by a carveout in the law that governs federal spending during shutdowns.
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Democrats have greater incentives to agree to a CR than to force the government into a shutdown in December. With any CR likely to run through the early months of the next Congress, a CR punt will allow Democrats to negotiate from a stronger position than today.

... and a third reconciliation bill is a long shot. GOP efforts to pass a third reconciliation bill focused on Pentagon funding and spending cuts are unlikely to be successful. There is limited time to push one through before the new Congress and the Republican caucus remains in disarray over what to actually include in such a package.

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Supplemental defense funding to replenish stocks depleted in the Iran war and boost the Pentagon budget to the administration's $1.5 trillion request was the basis of a reconciliation push. After the GOP's midterm losses, partly caused by the Iran war, some Republican legislators are wary of appearing to continue to support it. If reconciliation does not materialize, supplemental funding packages will arise as a more viable procedural alternative.

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Any reconciliation measure would also be a last-ditch attempt to pass other GOP priorities, like cutting taxes and government spending. Republicans hold thin majorities in both chambers, including dozens of members who may not show up to vote after having just lost their jobs. Maintaining the unity required to pass a major legislative package would be a tall order.

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Finally, a reconciliation bill would eat up valuable floor time, requiring two vote-a-ramas where all proposed amendments would be voted on. This would force Republicans to maintain unity on any number of difficult issues and fill legislative days urgently needed for other congressional priorities, like the NDAA or permitting reform.

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There is a narrow set of circumstances in which a reconciliation bill could succeed, as Senate Republicans have indicated they are still open to pursuing one. The size of defense spending would need to be reduced, and the package would have to be narrowly tailored around a specific set of priorities rather than being a catch-all for everything the GOP has yet to pass.

Hegseth impeachment vote and Jordan election temper speculation of GOP defectors. House Republicans won a procedural vote to refer the articles of impeachment against Secretary of Defense Pete Hegseth to the House Judiciary Committee 211-204 late Tuesday evening. Notably, 11 House Democrats were absent from the vote.

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The Hegseth vote demonstrates that rank-and-file Democrats as well as Democrat leadership, either intentionally or unintentionally, did not prioritize this opportunity (introduced by a Republican) to impeach Hegseth. Impeachment proceedings are now tabled for this Congress, but Democrats can refile articles on their own terms, and with voting majorities, in January.

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Republicans' near-unanimity in the vote—along with the election of the hardliner Rep. Jim Jordan (R-OH) as the new minority leader—should temper any speculation that there will be significant opportunities for Republican defections to vote alongside Democrats in the next Congress. Midterm losses mean the ideological center of the conference will shift to the right, not towards the center (see chart below).

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In the Senate, it is feasible that Democrats can get some defections from Republicans to break the 60-vote filibuster, which will require only four extra votes. Even there, though, it's hard to see where 11 Republican votes to break the presidential veto on items like war powers resolutions or potential tariff rollbacks could come from, especially since Democrats' usual targets for cross-aisle entreaties—like Senators Susan Collins (R-ME) or Thom Tillis (R-NC)—will be gone.

Quote of the Day

“I've been a Democrat my whole life. I grew up in a far left environment. I know more about being a progressive than almost anybody on the planet, and I absolutely believe Palantir—all of our products are essentially progressive." - Alex Karp, CEO of Palantir, speaking to Politico. Karp has aligned himself, and his company, closely with the Trump administration, and Palantir has become one of the big-tech antagonists for the Democratic Party. While Karp's comments are an attempt to get ahead of the attacks he knows will be coming in a Democratic Congress, there is an upper limit to how much he—and other tech leaders—can mend ties with the party.

On the Radar

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

15 December: Senator-elect Sherrod Brown (D-OH) is sworn in, reducing Republicans’ Senate majority to 52-48.

3 January: New Congress is sworn in

10 January: US-China tariff truce expires

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